

Tanfac Industries Limited

BSE: 506854 (TANFAC)

STRUCTURAL GROWTH

Report date: 12 July 2026

Company Summary

Tanfacs Industries Limited is an Indian manufacturer of hydrofluoric acid (HF) and other inorganic fluorine-based chemicals, incorporated in 1972 as a joint-sector company with Tamil Nadu Industrial Development Corporation (TIDCO). It is one of India's leading producers of Anhydrous Hydrofluoric Acid and the country's first and only manufacturer of Solar Grade Diluted Hydrofluoric Acid (DHF), alongside Sulphuric Acid, Aluminium Fluoride, Potassium Fluoride and other specialty fluorides, manufactured at a single integrated site in Cuddalore, Tamil Nadu. The company is listed on the BSE (scrip code 506854); its board approved seeking an NSE listing on 6 July 2026, alongside its most recent capital raise. As of 10 July 2026, Tanfacs's market capitalisation was approximately ₹5,131 crore.

MARKET CAP

₹5,131 Cr

PRICE

₹2,419

52-WEEK RANGE

₹1,633 – ₹2,585

SECTOR

Commodity
Chemicals

Value Chain Positioning

Tanfacs is a backward-integrated commodity-to-specialty fluorochemicals manufacturer. Upstream, it buys Sulphur domestically (Chennai Petrochem Corporation Limited is a named supplier) and Fluorspar largely from overseas (companies across South Africa, Thailand and Vietnam, per the investor presentation), converting these into Sulphuric Acid and then Hydrofluoric Acid on-site, with further downstream conversion into Solar Grade DHF and specialty fluorides. Downstream, it sells to industrial buyers across solar photovoltaic/semiconductor manufacturing, refrigerant-gas OEMs (including named customer Blue Star), steel and glass surface-treatment, agrochemical and pharma intermediates, and specialty gases — management describes the company's own trajectory as "transitioning from commodity chemicals to specialty solutions through forward integration," most concretely via its under-construction HFC-32 refrigerant-gas line, which sits one step further downstream than anything the company has made before.

UPSTREAM

Sulphur (domestic, incl. Chennai Petrochem Corp.); Fluorspar (imported — South Africa, Thailand, Vietnam); Potassium Carbonate



THE COMPANY — TANFACS INDUSTRIES LIMITED

Sulphuric Acid → Hydrofluoric Acid → Solar Grade DHF / specialty fluorides; HFC-32 refrigerant gas under development



DOWNSTREAM CUSTOMERS

Solar PV/semiconductor makers; refrigerant-gas OEMs (incl. Blue Star); steel/glass surface-treatment buyers; agrochemical & pharma intermediates buyers; specialty gases



END MARKET

Solar cell/module manufacturing; room air-conditioning & refrigeration; steel/glass processing; agrochemicals & pharmaceuticals

Situation Classification

Tanfacs is best described as **structural growth at an early-to-mid execution stage**, with unusually concrete near-term evidence rather than pure narrative. Revenue has compounded at roughly 37% annually over the last five years to a record ₹711 crore in FY26; two of its three existing product lines (Sulphuric Acid at 101% and Hydrofluoric Acid at 95% utilization) are already capacity-constrained, which is itself the proximate cause of the current expansion rather than a demand assumption. Management has guided FY28 revenue of ₹1,600–2,000 crore and a five-year ambition of ₹3,000–3,500 crore, backed by a ₹495 crore HFC-32 capex already ~65% pre-contracted and a Solar Grade DHF line that is ~85%-a-year pre-booked through FY29. That demand visibility has been corroborated independently by two rating upgrades in 2025 (ICRA and Acutet, both to A+/Stable) and a successfully closed ₹250 crore QIP — the company's first equity raise in over three decades. The growth thesis is nonetheless concentrated: it leans heavily on a single new product (HFC-32 refrigerant gas) whose India-wide government production quota is not yet finalised, and two of the three major new supply contracts are with customers the company has declined to name.

Near Term (Next 1 to 2 Quarters)

- **FY27 margin guided range-bound** [Pending]: Management guided operating EBITDA margin to stay range-bound at 15–18% in FY27, broadly in line with FY26's 15.8%, with a possible 3–4 percentage-point uplift once HFC-32 revenue begins in Q4 FY27. "We expect operating EBITDA margins to remain range-bound around 15% to 18% from existing line of business."
- **~₹400cr capex funding plan largely executed already** [On Track]: Of the ~₹400 crore funding plan flagged on the call (₹100 crore promoter preferential allotment + ₹300 crore QIP/term debt), the ₹250 crore QIP was allotted within seven weeks of guidance, and a ₹99.41 crore preferential issue awaits shareholder approval. "We are planning to raise around INR400 crores, out of which INR100 crores will be from the promoters by way of the preferential allotment and remaining INR300 crores by way of QIP and term debt."
- **New 30,000 TPA AHF capacity to be formally announced** [Pending]: A further captive Anhydrous HF expansion, to feed HF requirements for the HFC-32 plant, was flagged for formal announcement within two to three months of the call. "We are going to announce it in next few months, that 30,000 tons of capacity."

Medium Term (6 to 12 Months)

- **HFC-32 plant remains on schedule for Q3 FY27** [On Track]: The ₹495 crore, 20,000 MTPA HFC-32 downstream fluorinated-products plant is progressing on timeline, with 65% of its capacity already contracted and management targeting 80–85% pre-sold before start-up. “The project is progressing well and remains on track for the commissioning by Q3 in the year FY27.”
- **New HF line and a second Solar DHF plant targeted around mid-2027** [Pending]: A new HF unit and a second 20,000 MTPA Solar Grade DHF line (doubling Solar DHF capacity to 40,000 MTPA) are targeted to come online together roughly 11–12 months from the call. “Within 11 to 12 months, the HF and new solar grade plant will come together. So we can consider June '27.”
- **₹3,612cr of long-term supply contracts move toward execution** [On Track]: Three multi-year fluorinated-product/refrigerant-gas supply contracts — with an unnamed Japanese customer, an unnamed global multinational, and Blue Star — aggregating approximately ₹3,612 crore over 5–7 years begin converting to revenue as the HFC-32 plant ramps. “These include contracts aggregating to approximately INR3,612 crores over a period of 5 to 7 years, along with an additional agreement with Blue Star for an indefinite duration.”

Long Term (1+ Years)

- **FY28 revenue guided to ₹1,600–2,000cr** [Pending]: Roughly 2.3–2.8x FY26 revenue, once the new HF and HFC-32 lines are both operational. “FY28 I think we should be close to around INR2,000 crores, INR1,600 to INR2,000 crores because the new HF plant would also be operational at that time.”
- **Five-year ambition of ₹3,000–3,500cr revenue** [Pending]: Backed by a further ₹500–700 crore of capex over the next three to five years, deployed one project at a time into fluoropolymers, battery chemicals and electronic-grade chemicals. “Our aim is to get to almost INR3,000 to INR3,500 crores in next five years.”
- **Solar Grade DHF contracts lock in ~85% annual utilization through FY29** [On Track]: ₹1,068 crore of orders already secured against the existing 20,000 MTPA Solar DHF capacity (both phases commissioned June and October 2025). “We have secured orders for Rs 1,068 crores, to be executed over the next 3.5 years.”

Marquee & Niche Customers

- **Blue Star**: signed a long-term agreement of indefinite duration for supply of a fluorinated product (HFC-32 refrigerant gas), valued at approximately ₹61 crore per annum. (Source: Concall/Investor Presentation, 12 May 2026). No independently disclosed capacity or offtake guidance specific to this arrangement was found in Blue Star's own public disclosures in the sources reviewed for this report.
- **Unnamed Japanese customer**: a 7-year, 7,500 MTPA fluorinated-product/refrigerant-gas supply contract valued at approximately ₹337.5 crore per annum (~₹2,362 crore over the contract term). Management declined to name this customer, citing confidentiality agreements. (Source: Concall, 12 May 2026)
- **Unnamed large multinational company**: a 5-year MoU for supply of a key fluorinated product, 5,000 MTPA, valued at approximately ₹250 crore per annum (~₹1,250 crore over the term). Also unnamed for confidentiality reasons. (Source: Concall/Investor Presentation, May 2026)
- **Unnamed Indian solar wafer manufacturer**: certified Tanfac's Solar Grade DHF as meeting sub-10 parts-per-billion metal-impurity specifications after quality trials, establishing Tanfac as a qualified supplier in the domestic solar photovoltaic supply chain. (Source: Investor Presentation, May 2026)
- **Customer concentration**: management disclosed that its top-client group contributed 85% of FY26 revenue, with the remaining 15% from other customers, across categories including refrigerant gas, agrochemicals, surface treatment, pharma intermediates, advanced intermediates, specialty gases, solar cell and glass/metallurgical applications. Individual client names within these categories (beyond Blue Star) were shown only as logos in the investor presentation and could not be extracted as text.
- **Related-party revenue**: approximately ₹9 crore, or 1.2% of FY26 revenue, was billed to parent company Anupam Rasayan India Limited at arm's-length transfer pricing, with management stating there is a clear product-line distinction and no overlap between the two companies. (Source: Concall Q&A, 12 May 2026)

Capex, Milestones & Certifications Timeline

1985	Commissioned main plant (HF + AIF3) and Sulphuric Acid production [Achieved]
1994	1st fluorine chemical company in India (5th globally) to receive ISO 9002 certification [Achieved]
1996	1st fluorine chemical company in India to receive ISO 14001:1996 certification [Achieved]
2019	Highest-ever production/utilization at the time; became debt-free post-capex [Achieved]
Mar 2022	Anupam Rasayan acquired Aditya Birla Group's ~26% co-promoter stake, joint control with TIDCO [Achieved]
Oct 2024	New HF plant commissioned; HF capacity doubled 14,850 → 29,700 MTPA (~₹100cr) [Achieved]
Jun 2025	Solar Grade DHF Phase 1 commissioned (10,000 MTPA) [Achieved]
Sep 2025	Solar Grade DHF certified by an Indian solar wafer manufacturer [Achieved]

Oct 2025	Solar Grade DHF Phase 2 commissioned (total 20,000 MTPA) [Achieved]
7–14 Apr 2025	ICRA upgraded to A+(Stable)/A1+; reaffirmed at enhanced limits (₹90cr→₹195cr) [Achieved]
17 Sep 2025	Acuété (SMERA) upgraded to A+/A1+, withdrawn same day at issuer request [Achieved]
Dec 2025–May 2026	Signed 3 long-term supply contracts (~₹3,612cr + ₹61cr p.a.) [Achieved]
25 Jun 2026	QIP allotted — first equity raise in 30+ years (₹250cr) [Achieved]
Q3 FY27 (~Oct–Dec 2026)	HFC-32 (R-32) 20,000 MTPA plant commissioning (₹495cr) [On Track]
Next 2–3 months (~Jul–Sep 2026)	New 30,000 TPA AHF capacity to be formally announced [Pending]
6 Jul 2026 (EGM 30 Jul 2026)	₹99.41cr preferential issue approved, pending shareholder approval [Pending]
6 Jul 2026	Board approved seeking NSE listing in addition to existing BSE listing [Pending]
~Jun 2027 (11–12 months out)	New HF plant + second 20,000 MTPA Solar DHF line (→ 40,000 MTPA) [Pending]
Through FY29	Solar Grade DHF orders (~₹1,068cr) to be executed [On Track]
1 Jan 2028	India's national HFC-32 production quota becomes applicable (see Key Risks) [Pending]
FY28	Revenue target ₹1,600–2,000cr (see Long Term Outlook) [Pending]
Next 3–5 years (~FY29–31)	Further ₹500–700cr capex; 5-yr revenue ambition ₹3,000–3,500cr [Pending]

Financial Performance Summary

FY	Revenue (₹cr)	YoY %	Gross Margin %	EBITDA (₹cr)	EBITDA Margin %	PBT (₹cr)	PAT (₹cr)	PAT Margin %
FY23	374.9	–	39.5%	74.8	19.9%	75.5	56.1	15.0%
FY24	378.1	+0.9%	41.6%	70.7	18.7%	70.1	52.5	13.9%
FY25	557.0	+47.3%	45.2%	128.9	23.1%	118.8	88.1	15.8%
FY26	711.1	+27.7%	37.5%	112.1	15.8%	92.6	70.1	9.9%

5-YR REVENUE CAGR

~37%

3-YR REVENUE CAGR

~24%

10-YR REVENUE CAGR

~18%

10-YR PAT CAGR

~37%

Balance sheet anomaly check: Debtor days (receivables ÷ revenue × 365) moved 49.5 (FY23) → 59.0 (FY24) → 65.1 (FY25) → 56.7 (FY26) — a mild rise through FY25 that reversed in FY26, not an anomaly. Trade payables fell in absolute terms (₹46.4cr → ₹25.1cr) even as revenue nearly doubled — reduced reliance on trade credit, not a red flag. Net worth grew steadily from ₹184.3cr (FY23) to ₹373.2cr (FY26) with no goodwill write-off and no negative-net-worth episode. One genuine step-change worth flagging: “other non-current assets” jumped from ₹2.1cr (FY25) to ₹26.8cr (FY26) — most likely capital advances tied to the HFC-32 project, though the FY26 annual report was not yet published at the time of this report to confirm the exact composition. Cash and bank balances (₹29.2cr) covered only about 31% of FY26 year-end borrowings (₹92.8cr), a thinner cushion than FY25's near-parity — but this predates the ₹250cr QIP that closed in June 2026, after the FY26 balance-sheet date, which materially eases it. No other anomaly was identified.

Segment-wise Performance

Tanfac discloses a single reportable operating segment — “Fluoro-Chemicals” — under its Ind AS 108 note, so no product-line or business-division segment table is presented.

Exports vs. Domestic

FY	Domestic Sales (₹cr)	Export Sales (₹cr)	Export % of Revenue
FY24	355.80	17.82	4.7%
FY25	519.72	30.84	5.5%

This split reflects the business as currently constituted and is set to shift materially: on the concall, management separately indicated that the new HFC-32 capacity is roughly 75–80% pre-committed to export customers and 15–20% domestic, based on 13,500 MTPA of the 20,000 MTPA already tied up under contract. That forward-looking mix is specific to the new plant's committed offtake, not a restatement of company-wide historical exports.

Order Book

Tanfac does not disclose a single “order book” figure the way an EPC or capital-goods company would; instead it discloses the value and tenor of its multi-year supply contracts, which function similarly as forward-contracted revenue visibility.

As-of Date	Contracted Value (₹cr)	Tenor	Composition	Source
12 May 2026	1,068	Through FY29 (~3.5 yrs)	Solar Grade DHF — locks ~85%/yr of existing 20,000 MTPA capacity	Investor Presentation/Concall
12 May 2026	~3,612	5–7 years	Fluorinated-product/refrigerant supply — unnamed Japanese customer (~₹2,362cr/7yr) + unnamed MNC (~₹1,250cr/5yr); ~65% of HFC-32 capacity	Concall, 12 May 2026
12 May 2026	~61 p.a.	Indefinite	Blue Star — HFC-32 refrigerant gas supply	Concall/Investor Presentation

Management additionally indicated it was “trying to block another 15% to 20%” of HFC-32 capacity in discussions at the time of the call — a pipeline figure, not a signed contract, excluded from the table above.

Manufacturing Locations & Physical Assets

- **Cuddalore, Tamil Nadu** (SIPCOT Industrial Complex) — sole integrated manufacturing facility, ~60 acres, mix of freehold and leasehold land (leasehold primarily via SIPCOT). Houses Sulphuric Acid (1,00,000 MTPA), Hydrofluoric Acid (29,700 MTPA), Specialty Fluorides (5,000 MTPA) and Solar Grade DHF (20,000 MTPA) lines, a captive power plant, and an R&D centre with pilot-plant capability. The new 20,000 MTPA HFC-32 line is under construction at the same site.
- **Chennai** (Oxford Centre, Alwarpet) — corporate/administrative office, not a manufacturing site.

Raw material import dependency: Fluorspar is the largest single raw-material cost line — approximately 78% of total materials consumed by value in FY25 (₹238.4cr of ₹305.9cr) — and is sourced substantially from overseas (South Africa, Thailand and Vietnam), while Sulphur is sourced domestically. The FY25 Annual Report’s Foreign Exchange Earning and Outgo note shows forex outgo of ₹262.63cr against forex earned of ₹30.84cr in FY25 (up from ₹173.84cr/₹17.82cr in FY24) — this combines imported raw materials and capital goods and isn’t broken out by category, but the scale corroborates meaningful import dependence. A specific company-disclosed “% of raw material imported” figure was not found in the FY25 Annual Report notes reviewed.

Capacity Utilization & Headroom

Product	Installed Capacity (MTPA)	FY26 Utilization	Source
Sulphuric Acid	1,00,000	101%	Investor Presentation/Concall
Hydrofluoric Acid	29,700	95%	Investor Presentation/Concall
Specialty Fluorides	5,000	41%	Investor Presentation/Concall
Solar Grade DHF	20,000	Both phases commissioned Jun/Oct 2025; ~85%/yr locked via contracts through FY29	Investor Presentation/Concall

High-utilization flag: Sulphuric Acid (101%) and Hydrofluoric Acid (95%) are both already at or above the 85% threshold at which near-term output growth depends on new capacity coming online rather than better utilization of what already exists — this is the direct rationale for the AHF/HF expansions and the new HFC-32 line, not just a growth ambition. Specialty Fluorides (41%) is the one line with meaningful spare capacity. Tanfac does not disclose a single blended “revenue at full utilization” figure across its multi-product mix; the relevant before/after reference instead is FY26 actual revenue (₹711cr, achieved while the two largest lines already ran at 95–101% utilization) against management’s own FY28 guidance of ₹1,600–2,000cr once the new HF, AHF and HFC-32 lines are operational.

Total Addressable Market

All figures below are as presented in the May 2026 investor presentation, sourced there to a Frost & Sullivan report; the underlying report’s own publication date wasn’t independently confirmed, so these should be read as current as of the presentation rather than independently dated.

Market	Current	Projected	CAGR
Global Fluorochemicals	\$36Bn (CY25)	\$46.6Bn (CY30P)	5.3%
India Fluorochemicals	\$1.9Bn (FY26E)	\$2.8Bn (FY31P)	8.1%
Global AHF	2.0 MMT (CY25)	2.6 MMT (CY30P)	5.3%
India AHF	110 KT (FY26E)	175 KT (FY31P)	9.7%
Global DHF	0.82 MMT (CY25)	1.03 MMT (CY30P)	4.7%
India DHF	86 KT (FY26E)	132 KT (FY31P)	9.0%
Global Solar DHF	150 KT (CY25)	300 KT (CY30P)	15.0%
India Solar DHF	19.2 KT (FY26E)	80 KT (FY31P)	33.0%
Global HFC-32	380 KT (CY25)	485 KT (CY30P)	5.0%

Market	Current	Projected	CAGR
India HFC-32	~22–23 KT	44–50 KT (4–5 yrs)	~15%

India's national HFC quota pool (once finalised, applicable from 1 Jan 2028) is estimated by management at 115–125 KT/year, against ~50 KT of existing installed industry-wide capacity — a meaningful share of future incremental quota is still up for allocation, of which Tanfac's 20,000 MTPA plant is one claimant.

Valuation — Forward PE

Input	Value	Source/Basis
Revenue guidance	₹1,800cr (midpoint of ₹1,600–2,000cr)	FY28 target, Q4 FY26 concall, 12 May 2026
PAT margin used	9.9%	Assumed — trailing FY26 actual PAT margin; no explicit FY28 PAT margin guided
Shares outstanding	~2.126cr	Equity capital (₹10cr + ₹0.629cr from Jun 2026 QIP) ÷ ₹5 face value
Forward EPS	~₹83.8	₹1,800cr × 9.9% ÷ 2.126cr shares
Price	₹2,419	screener.in, 10 Jul 2026
Forward PE	~28.9x	Price ÷ Forward EPS
Trailing PE	73.2x	screener.in, 10 Jul 2026

The forward multiple rests on an assumed PAT margin (trailing FY26 actual), not a management-guided one — treat it as illustrative, since actual FY28 margin could differ given the higher-margin HFC-32 mix management expects to add. With trailing P/E at 73.2x against a 3-year revenue CAGR of ~24%, the stock is already priced for a large step-up in scale — exactly what the FY28 guidance implies but has not yet been demonstrated at the new, larger revenue base. A clean historical median PE could not be confirmed this run: a live fetch of Tijori Finance confirmed the current PE at 73.15x (matching screener.in), but indexed search snapshots of the same source showed inconsistent “3-year average” figures (25.19x and 37.42x) that don't reconcile with the live figure — likely stale snapshots from when the stock traded lower, so this row is omitted rather than picked arbitrarily.

Industry Tailwinds / Headwinds

- **Tailwind — broad-based, multi-sector demand:** growth is pulled by solar photovoltaic manufacturing (India Solar DHF demand ~33% CAGR to FY31), room air-conditioners (~16–17% CAGR per management), and specialty/agrochemical demand — reducing single-end-market dependence. (Source: Investor Presentation, May 2026, Frost & Sullivan-sourced)
- **Headwind — import competition limits pricing power:** ICRA's April 2025 rating rationale explicitly flags that Tanfac “faces competition from domestic manufacturers as well as from imports, especially from China, which limits its pricing power” on its core HF, aluminium fluoride and sulphuric acid products. (Source: ICRA rating rationale, 14 Apr 2025)
- **Headwind — HFC-32 quota mechanism unresolved:** the Government of India's HFC phase-down framework under the Kigali Amendment had not, per the 1 April 2026 Office Memorandum, finalised how the national quota (est. 115–125 KT/year) will be allocated — an industry-wide uncertainty for every prospective HFC-32 entrant. (Source: Concall, 12 May 2026)
- **Headwind — geopolitically driven input-cost inflation:** management attributed part of FY26's gross-margin compression to Sulphur price increases linked to the West Asia conflict, alongside broader Fluorspar cost inflation — a sector-wide pressure, not specific to Tanfac. (Source: Concall, 12 May 2026)

Competitive Positioning: Peer Comparison, Entry Barriers & Product Criticality

screener.in's own Peers tab did not return usable comparison data through the fetch tools available this session (its widget loads via JavaScript), so peers below were identified independently as India's other listed integrated fluorochemical manufacturers, cross-checked against company/press sources rather than screener's own peer-set.

Company	Market Cap (₹cr)	IP / Technology Moat	Niche / Marquee Customers	Certifications & Differentiator
Tanfac Industries	5,131	First & only Indian maker of Solar Grade DHF (sub-10 ppb metal-impurity spec); backward-integrated to Sulphuric Acid/HF	Blue Star (named); 2 large unnamed contracts (Japanese customer, global MNC)	1st fluorine co. in India for ISO 9002 (1994) & ISO 14001 (1996); TPM Excellence Award (Japan Institute of Plant Management)
Navin Fluorine Intl.	31,123	India's first high-pressure, cGMP-compliant fluorination facility; 60+ fluorinated products; only Indian fluorochemical co. offering end-to-end research-to-commercial CDMO-style service	Bayer Crop Science, Corteva Agriscience, Fermion (named); ~80% of H1 FY26 exports; Honeywell (HFO contract)	cGMP compliance for pharma-grade output; 50+ years in fluorination
SRF Limited	Not confirmed this run	Global leader in Refrigerants, Pharma Propellant, Industrial Chemicals & Fluoropolymers; deep backward integration; plants at Bhiwadi (Rajasthan) & Dahej (Gujarat)	Not disclosed by name in sources reviewed; serves 60+ countries	International regulatory compliance (not itemized in sources reviewed)
Gujarat Fluorochemicals	43,262	India's only Fluoropolymer producer (among top few globally); expanding AHF capacity 120→220 TPD — ~4x Tanfac's current base; also in battery chemicals (LiPF6) via GFCL EV	Not disclosed by name in sources reviewed	International regulatory compliance (not itemized in sources reviewed)

On the factors above, Navin Fluorine appears to hold the strongest disclosed customer-niche-ness (three named, large innovator-pharma/agrochem customers with a rising, quantified export share) and the clearest CDMO-style technical differentiation; Gujarat Fluorochemicals leads on sheer scale and product breadth and is expanding AHF capacity nearly 4x larger than Tanfac's current base. Tanfac's own point of

distinction — sole Indian Solar Grade DHF producer with demonstrated sub-10 ppb purity capability — is a genuine, sourced niche moat, but a single-product claim next to peers with broader, more diversified specialty portfolios. SRF's specific moat/customer detail could not be itemized from the sources reviewed this run. ICRA's rating rationale separately characterizes Tanfac's industry as "competitive and fragmented" with "multiple mid-size to large size players," and notes Chinese import competition specifically constrains HF/AlF₃/H₂SO₄ pricing.

Entry Barriers

(1) Capital intensity — the HFC-32 line alone costs ₹495cr for 20,000 MTPA, and Solar Grade DHF's sub-10 parts-per-billion purity specification required, per management, "INR50 crores to INR70 crores" of dedicated capex plus roughly two years of process learning; (2) customer qualification cycles — Solar Grade DHF required a formal quality-trial certification process before commercial supply began; (3) regulatory/environmental clearances — the HFC-32 line required its own environmental clearance, and the Kigali Amendment quota mechanism itself is a barrier to new entrants industry-wide; (4) backward integration — in-house HF availability and captive Sulphuric Acid production are cited by management as a structural cost/reliability advantage.

Product Criticality

Management's own framing is that Solar Grade DHF's ultra-high purity requirement makes qualification "as good as a USFDA plant, something like cGMP procedure" — implying meaningful switching costs once a customer is qualified. HFC-32 refrigerant gas, by contrast, is a commodity-adjacent product differentiated mainly by long-term contracted supply relationships and formula-based pricing. No source characterized any product as strictly safety/mission-critical in the single-point-of-failure sense; they are better described as quality-critical inputs with real but not extreme switching costs.

Technical Snapshot

Metric	Value	As of
Price	₹2,419	10 Jul 2026
52-Week High	₹2,585	10 Jul 2026
52-Week Low	₹1,633	10 Jul 2026
Trailing P/E	73.2x	10 Jul 2026
50-day Moving Average	₹2,209.6 (price trading above)	10 Jul 2026
200-day Moving Average	₹2,121.4 (price trading above)	10 Jul 2026
RSI (14-day)	61.8 — mid-range/neutral, leaning bullish	10 Jul 2026
Support / Resistance	Not published with specific levels by the source reviewed	—

The stock trades above both its 50- and 200-day moving averages and roughly 6% below its 52-week high (₹2,585), 48% above its 52-week low (₹1,633) — a technically constructive setup consistent with the run-up around the FY26 results, QIP and rating upgrades over the past year. RSI at 61.8 is in neutral-to-mildly-bullish territory, not yet overbought. This section should be refreshed before being used for any near-term trading decision — it goes stale within days by design. (Source: Trendlyne technical analysis, BSE data as of 10 Jul 2026, 3:31 PM IST)

Promoter / Governance Track Record

Guidance reliability: 12 May 2026 was Tanfac's maiden analyst earnings concall ("Since this is our maiden earnings call with the investor community..." — Afzal Malkani, Managing Director), so there is no multi-quarter guidance-vs-actual track record yet to assess. The one guided item with an interim outcome so far — the ~₹400cr capex funding plan — is tracking on schedule (₹250cr QIP delivered within seven weeks of guidance; the ₹99.41cr balance pending shareholder approval).

Shareholding Pattern Trend

Quarter	Promoter %	FII %	DII %	Public %
Sep 2023	51.82	0.00	0.07	48.13
Mar 2024	51.82	0.00	0.11	48.08
Sep 2024	51.82	0.00	0.39	47.80
Mar 2025	51.82	0.14	0.42	47.62
Jun 2025	51.82	0.08	0.39	47.72
Jun 2026	48.73	1.52	4.79	44.96

Promoter holding was flat at 51.82% for roughly two years before dropping to 48.73% in the quarter to June 2026 — a mechanical dilution from the ₹250cr QIP's new institutional share issuance (allotted 25 Jun 2026), not a promoter sale; DII holding rose correspondingly as several QIP allottees took a stake. No promoter pledge was disclosed. The FY25 Annual Report's auditor opinion was unqualified/unmodified, with no going-concern language found; one minor secretarial-compliance lapse was noted — a ₹44,000 fine for late submission of the Annual Secretarial Compliance Report to BSE — an immaterial, procedural matter.

Promoter Fund Raises

Date	Instrument	Amount (₹cr)	Allottee(s)	Issue Price	vs. CMP	Status
25 Jun 2026	QIP	250.0	Motilal Oswal MF, Motilal Oswal India Excellence Fund, Bengal Finance & Investment, Turn Around Opportunities Fund, Niveshaay Hedgehogs Fund	₹1,985.83	– 17.9%	Allotted
6 Jul 2026	Preferential equity	99.41	Anupam Rasayan India Ltd (promoter, lead), Alrox Enterprises, Vivek Jain, Tatvam Trade	₹2,341.00	–3.2%	Pending — EGM 30 Jul 2026

The QIP was the company's first equity capital raise in over three decades, priced at a 5% discount to the SEBI floor price (₹2,090.34). The preferential issue was originally announced at ₹173.48cr and has since been reduced 42.7% to ₹99.41cr; Anupam Rasayan remains the lead subscriber. No NCDs, term loans, promoter loans, or warrant issuances were found on record.

Credit Rating Snapshot

Agency	Instrument	Rating/Outlook	Date	Action
ICRA	Fund/non-fund bank facilities	A+ / Stable, A1+	7 Apr 2025	Upgraded from A(Stable)/A1
ICRA	Fund/non-fund bank facilities	A+ / Stable, A1+	14 Apr 2025	Reaffirmed at enhanced quantum (₹90cr→₹195cr)
Acuété (SMERA)	Bank loan facilities (₹80cr)	A+ / Stable, A1+	17 Sep 2025	Upgraded, then withdrawn same day at issuer request

Both agencies converged on A+(Stable)/A1+ in 2025, with no downgrade or negative/watch-negative outlook currently in force at either agency — a genuinely positive, independent rating trajectory.

Legal & Litigation

Three minor matters are on record in the FY25 Annual Report's Contingent Liabilities note, together totalling approximately ₹1.19cr — immaterial relative to the company's ₹5,131cr market cap and ₹711cr FY26 revenue: (1) a Service Tax/VAT/GST claim of ₹0.54cr not acknowledged as debt; (2) a decades-old Tamil Nadu Sales Tax dispute from 1989–91, reduced to ₹0.53cr and paid under protest, appeal still awaited; and (3) a SIPCOT land-lease interest dispute (₹0.12cr) where the Madras High Court waived interest in the company's favour, but SIPCOT has appealed that waiver — **dismissed but appealable**, not fully closed. No other material or promoter-personal litigation was found.

Investment Thesis Summary

- Multiple guided items — the capex funding plan, the HFC-32 project, the ₹3,612cr long-term supply contracts, and Solar Grade DHF order execution (~₹1,068cr) — are all currently tracking On Track against May 2026 guidance, corroborated by a closed QIP and two independent 2025 rating upgrades (ICRA and Acuté, both A+/Stable, no negative outlook anywhere).
- Two of three existing product lines (Sulphuric Acid 101%, HF 95%) are already running above the 85% high-utilization threshold — real demand constraint, not an assumed one.
- India's underlying fluorochemicals TAM offers genuine multi-year headroom (Solar DHF at 33% CAGR, HFC-32 at ~15% CAGR through FY31), not a single-year catalyst.
- The thesis is concentrated, not diversified: the FY28 step-up depends overwhelmingly on one new product (HFC-32) awaiting a still-unfinalised government quota, and two of three headline new contracts are with customers management has declined to name, limiting independent verification.
- Valuation (73.2x trailing, ~29x on an assumed-margin forward basis) already prices in a large part of the guided step-up in scale before it has been demonstrated at the new, larger revenue base.

Key Risks / Red Flags

- **HFC-32 quota/regulatory risk:** Tanfac's single largest current capex (₹495cr) is a bet on receiving a proportionate share of India's national HFC-32 quota, allocation mechanism not yet finalised by the government — an adverse, delayed, or smaller-than-expected allocation would directly impair the flagship project's economics.
- **Customer concentration and opacity:** 85% of FY26 revenue came from a concentrated top-client group, and two of the three newly signed long-term contracts (over ₹3,600cr) are with customers management has declined to name, limiting independent verification of the demand story.
- **Commodity, FX and geopolitical input-cost exposure:** Fluorspar (~78% of raw-material cost) is substantially imported, and Sulphur prices rose meaningfully in FY26 on West Asia-related disruption; cost pass-through lags 30–40 days, compressing margin during upswings. FY26 gross margin fell from 45.2% to 37.5% partly on this basis.
- **Single-site execution risk:** FY26 profitability was hit by an estimated ₹70cr of lost HF production from unplanned maintenance/a distillation-column bottleneck, ~₹7cr of incremental depreciation, and a ~₹2.5–3cr FX mark-to-market loss — Tanfac's entire operation sits on one integrated site, and unplanned downtime flows straight through to results.
- **Valuation already reflects a large part of the growth thesis:** at 73.2x trailing and ~29x on an assumed forward PAT margin, FY26 PAT margin nearly halved from 15.8% to 9.9% even as revenue grew 28% — the multiple assumes a margin recovery not yet demonstrated at the new, larger revenue base.

Verdict

Tanfac is a structural-growth fluorochemicals story with unusually concrete near-term evidence for a first-time-covered small/midcap — a closed QIP, two independent 2025 rating upgrades, and existing lines already running at 95–101% utilization all corroborate real, not assumed, demand. But the FY28 step-up leans heavily on one new product (HFC-32) whose India-wide quota mechanism is not yet finalised, and on two unnamed customers that can't be independently verified — so this reads as **well-evidenced but early**: the company has executed on time so far (HF and Solar DHF both commissioned on schedule), and FY27–28 will be the real test as the regulatory quota clarifies and the new capacity actually ramps.

Sources

1. **Screener.in — Tanfac Industries Ltd company page** — financials, shareholding pattern, market data, documents list
<https://www.screener.in/company/506854/>
2. **Tanfac Industries Q4 & FY26 Investor Presentation, BSE filing, 7 May 2026** — business overview, capex, TAM, customers, capacity/utilization
<https://www.bseindia.com/stockinfo/AnnPdfOpen.aspx?Pname=4a48ae19-d04e-4d58-9ec5-5955c3c2fa02.pdf>
3. **Tanfac Industries Q4 FY26 concall transcript, BSE filing, 12 May 2026** — management commentary, guidance, Q&A detail
<https://www.bseindia.com/xml-data/corpfiling/AttachHis/acfd8195-8de9-424f-b786-e964e36aa8a7.pdf>
4. **Tanfac Industries 51st Annual Report FY2024-25** — segment note, exports/domestic split, contingent liabilities, forex earning/outgo, auditor's report
<https://tanfacms.tinglabs.in/uploads/51st-Annual-Report-2024-25.pdf>
5. **ICRA rating rationale, 7 Apr 2025** — rating upgrade to A+(Stable)/A1+
<https://www.icra.in/Rating/GetRationalReportFilePdf?id=134311>
6. **ICRA rating rationale, 14 Apr 2025** — reaffirmation at enhanced bank-limit quantum
<https://www.icra.in/Rating/GetRationalReportFilePdf?id=134486>
7. **Acuté (SMERA) rating rationale, 17 Sep 2025** — upgrade and voluntary withdrawal
<https://www.acute.in/documents/ratings/revised/15505-RR-20250917.pdf>
8. **Sahi News — Tanfac Industries Reduces Preferential Issue to ₹99.41 Crore** — preferential issue sizing and allottees
https://www.sahi.com/news/tanfac-industries-reduces-preferential-issue-to-99-41-crore-anupam-rasayan-stays-lead-subscriber-278-PE1_CORP
9. **Tradebrains — TANFAC Industries Raises ₹250 Cr via QIP** — QIP pricing, allottees, use of proceeds
<https://tradebrains.in/tanfac-industries-raises-250-cr-via-qip-to-back-3612-cr-order-pipeline/>

- 10. Whalesbook — TANFAC Industries Allots 12.58 Lakh Shares via QIP** — QIP allotment detail
<https://www.whalesbook.com/corporate-news/English/chemicals/TANFAC-Industries-Allots-1258-Lakh-Shares-via-QIP-at-indian-rupee198583/6a3d45ef7465030c38b95d94>
- 11. Indian Chemical News — Anupam Rasayan completes Tanfac Industries acquisition of 24.96%** — promoter/JV history
<https://www.indianchemicalnews.com/chemical/anupam-rasayan-completes-tanfac-industries-acquisition-of-2496-12786>
- 12. Trendlyne — Tanfac Industries Technical Analysis** — moving averages, RSI, Technical Snapshot
<https://trendlyne.com/equity/technical-analysis/TANFACIND/1349/tanfac-industries-ltd/>
- 13. Tijori Finance — Tanfac Industries Ltd** — trailing PE cross-check, Valuation section
<https://www.tijorifinance.com/company/tanfac-industries-limited/>
- 14. SOIC Finance — Fluorination Temperature Check: SRF vs Navin vs GFL** — peer business-mix commentary, Competitive Positioning
<https://soic.substack.com/p/fluorination-temperature-check-srf>
- 15. Screener.in — Gujarat Fluorochemicals Ltd** — peer market cap, Competitive Positioning
<https://www.screener.in/company/FLUOROCHEM/consolidated/>